

Middle East Conflict: an initial view for Australia and New Zealand

#defence

#australia

#us

#newzealand

By [Kelly Eckhold](#), [Sian Fenner](#), [Elliot Clarke](#) & [Michael Gordon](#)

12:10 March 03 2026

 Share

Using Oxford Economics' global model, we assess the potential implications for growth and inflation of three different scenarios for the conflict.



The US–Israel attack on Iran over the weekend and Iranian response has disrupted shipping in the Persian Gulf and spiked oil prices. The broader economic impact is highly uncertain, depending on how long the hostilities last and whether there is lasting damage to transport infrastructure. Using the

Oxford Economics model, we trace through three different scenarios for their impacts on Australia and New Zealand. These are model results only, and do not represent a forecast of either the conflict or central bank reactions.

What is the extent of the conflict?

Over the past three days, the US and Israel have struck an array of military and infrastructure targets across Iran. Iran's Supreme Leader Ayatollah Ali Khamenei was killed along with many other senior leaders. Iran retaliated against US military assets in the region, Israel and other infrastructure assets across the region, including Dubai's airport. President Trump has stated that combat operations will "continue until all of our objectives are achieved", without elaborating beyond an initial projection of "four to five weeks". Comments from Israeli Prime Minister Benjamin Netanyahu also alluded to military strikes increasing in intensity in "coming days".

How has regional trade been affected?

As of 3rd March, the all-important Strait of Hormuz is officially closed to oil, LNG and container trade. A few ships have reportedly been hit, and existing insurance policies have been revoked. Even if this proves short-lived, high insurance costs could stymie any quick resumption in transit. Bloomberg reports DP World has also suspended work at their Jebel Ali port in Dubai.

The conflict has also shut all air traffic across the region, affecting global passenger travel and freight until further notice, including between Europe and Australia / New Zealand.

How have financial markets reacted?

Yesterday, the price of Brent oil opened almost 14% higher at US\$82.37. It has remained volatile since but currently trades just below US\$78.00 (7% higher than Friday's close). This is on top of the rise through January and February that occurred in anticipation of conflict. Spot Brent is 32% higher in US dollars than it was in mid-December.

The Australian and New Zealand dollars are little changed overall, down 0.2% and 0.9% since Friday's close. Equity markets are cautious. Most, including Australia's ASX 200 have seen little net change, awaiting a better sense of the duration and scale of the conflict. Though Europe's exposure to energy supplies from the region saw a marked decline in the Continent's bourses overnight.

How might oil prices respond?

If, as was the case in mid-2025, military conflict is short, the price of oil is likely to retreat quickly and physical trade return to normal. The hit to global trade, inflation and financial markets would be negligible.

However, if the conflict intensifies in coming days and/or persists for weeks, financial market participants are likely to become more anxious. Under these circumstances, Brent oil around US\$100

is possible, with consequences for both global growth and inflation. Equities and pro-risk currencies would also come under significant pressure.

Iran produces around 4 million barrels per day (mb/d) of crude and other liquids, roughly 4% of global oil production, with China the largest import market – a manageable supply shock at the global level. The Strait of Hormuz, however, is the main route for 20mb/d of oil supply and circa 30% of global container shipping.

There is significant uncertainty over the potential for disruption, but as a guide we consider three illustrative scenarios using Oxford Economics' global model.

1. A disruption to Iranian production only could see the price of oil rise another US\$25 per barrel to around US\$100. However, inventory draws, a potential release of strategic reserves and/or an increase in supply from other producers would likely ease concerns and see the price of oil retreat quickly. The implications for LNG, container and air trade would also be transitory.
2. If shipping through the Strait of Hormuz is affected for up to a month, Brent could instead spike to US\$113 per barrel.
3. A disruption of three or more months could see the price of Brent oil rise to US\$185 per barrel.

The longer and more intense the disruption, the greater the real economy cost and hit to sentiment. Oil and LNG inventories held by both the private and public sector are also finite, and workarounds for supply are limited. Note, these scenarios also assume no damage to oil and LNG production and freight facilities. A permanent loss of supply would prolong the cost to the real economy and financial markets via the price of oil and related energy products.

In addition, we would also likely see lasting supply disruptions across an array of goods globally given the complex nature of global trade and manufacturing. As for oil, the longer the disruption the greater the cost. Arguably, Europe would be most affected given their exposure, but ramifications would be seen across the globe. .

How might higher oil prices affect the Australian and New Zealand economies?

Higher oil prices feed rapidly into headline CPI via petrol and transport costs, and indirectly via energy-intensive products such as fertilisers. Under the three scenarios petrol prices could increase by A\$0.25 to A\$1.00 per litre, dependent on movements in the Australian dollar and refinery margins.

Higher inflation reduces real household disposable income, weighing on consumption, while higher input costs weaken investment. External demand also softens as global growth slows, weighing on exports, with reduced imports providing only a partial offset.

The net impact is consistently larger in New Zealand because there are no offsetting export income

effects. LNG and coal prices also rise, partially insulating Australian incomes via higher export revenue, and dampening any exchange rate depreciation. However, it does not fully neutralise the drag from higher fuel costs.

How might Australia and NZ GDP growth and inflation be affected?

If only Iranian oil supply is impacted, the Australian CPI rises by around 0.7ppts (see table), while the near-term impact on real GDP is marginal – GDP growth at Q4 2026 is less than 0.1ppt lower.

If supply from the Strait of Hormuz is disrupted for one month, the Australian CPI lifts by around 1ppt, with GDP growth around 0.2ppt lower. A three-month disruption could see the CPI temporarily spike by around 1.5ppts at the peak, with GDP 0.5ppts lower by end-2026.

In New Zealand, the same shock transmits more forcefully as higher oil prices represent a negative terms-of-trade and income shock. Under the Iranian supply scenario, the CPI rises by around 1ppt and GDP is circa 0.4ppts lower. With more severe disruptions, the divergence widens. A one-month Strait of Hormuz closure raises CPI by around 1.6ppts and lowers GDP by around 0.5ppts. A three-month disruption lifts the CPI by around 3ppts and lowers GDP by around 0.7ppts, reflecting a larger and more persistent squeeze on real household incomes.

Alternative Oil Scenarios		Australia		New Zealand		
		Oil price	ppt diff. to Q4 %yr growth			
		US\$ p/b	GDP	CPI	GDP	CPI
Iranian oil production disruption		100	<0.1	0.7	-0.3	1
Closure of Strait of Hormuz						
	1 month	113	-0.2	1.0	-0.5	1.6
	3 months	185	-0.5	2	-0.7	3.2

How will the RBA and RBNZ interpret the oil price shock?

These three oil supply scenarios represent temporary supply shocks. The price level increases, not ongoing inflation. Typically, central banks look through such shocks, but in these scenarios, the RBA and RBNZ would have to balance the risk that inflation expectations lift against the medium-term effects on activity. They will also be watching for signs of pass-through of higher costs into inflation more broadly.

The conflict in Iran and related impact on oil prices adds to the risks that inflation remains higher for longer. In Australia, Trimmed Mean was already expected to remain above the RBA's 2–3% inflation target range for a few quarters; an extended conflict would lengthen that period. Similarly, inflation would be expected to remain in the upper part the RBNZ's target band for an extended period.

What if oil prices spike to US\$100 per barrel or US\$150 per barrel and remain there?

The policy risks increase if higher oil prices persist and begin to generate secondary inflationary pressures through wages and other goods and services. The Oxford Economics model represents these risks by modelling central bank actions based on a simple (Taylor) reaction rule.

If oil prices were to increase to US\$100 per barrel, around US\$25 above current levels and stay there, model estimates suggest it could tilt the balance of risks to the RBNZ raising rates by a further 25bps in 2027, relative to 125bp in our baseline, with rates around 25bps higher over the forecast period. For Australia, where the inflation passthrough is comparatively smaller, the balance of risks would be for rates to settle around 25bps higher over the longer term.

Under a US\$150 per barrel scenario, monetary policy could diverge. Central banks could look through the first-round inflation effects given the expected negative spillovers to activity as long as inflation expectations remain anchored. However, in New Zealand persistently higher inflation, combined with a low starting point for interest rates, could lead the RBNZ to raise rates by a further 50bps in 2027, to contain ongoing core inflationary pressures. In contrast, in Australia, where interest rates are already restrictive, the drag from higher inflation on household spending and activity may allow the RBA to remain on hold with a hawkish bias.

Note: The Oxford Economics Global Economic Model is an integrated forecasting and scenario model covering 87 key economies, including Australia and New Zealand, and regional blocs. A global commodity block based on country demand and supply allows scenario analysis for price or demand and supply shocks with feedback channels back to demand, prices, monetary policy and other financial asset prices.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#australia

Australia and NZ Weekly 16 March 2026

March 13 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [11 more](#)



#marketoutlook

Westpac Market Outlook March 2026

March 13 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Elliot Clarke](#), [Matthew Hassan](#) & [11 more](#)



#cliffnotes

Cliff Notes: a time for caution

March 13 2026 • ⌚ 5 mins

By [Elliot Clarke](#) & [Ryan Wells](#)

Browse topics

#aud

#interestrates

#usd

#nzd

#australia

#newzealand

#rates

#credit

#acgb

#commodities

#rba

#jpy

#yieldcurve

#inflation

#abs

#ustreasury

#eur

#fx

#ois

#semigovernment

Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.